



BISWAJIT DHAR

DEVELOPMENT
ECONOMIST AND
FORMER PROFESSOR,
JAWAHARLAL
NEHRU UNIVERSITY

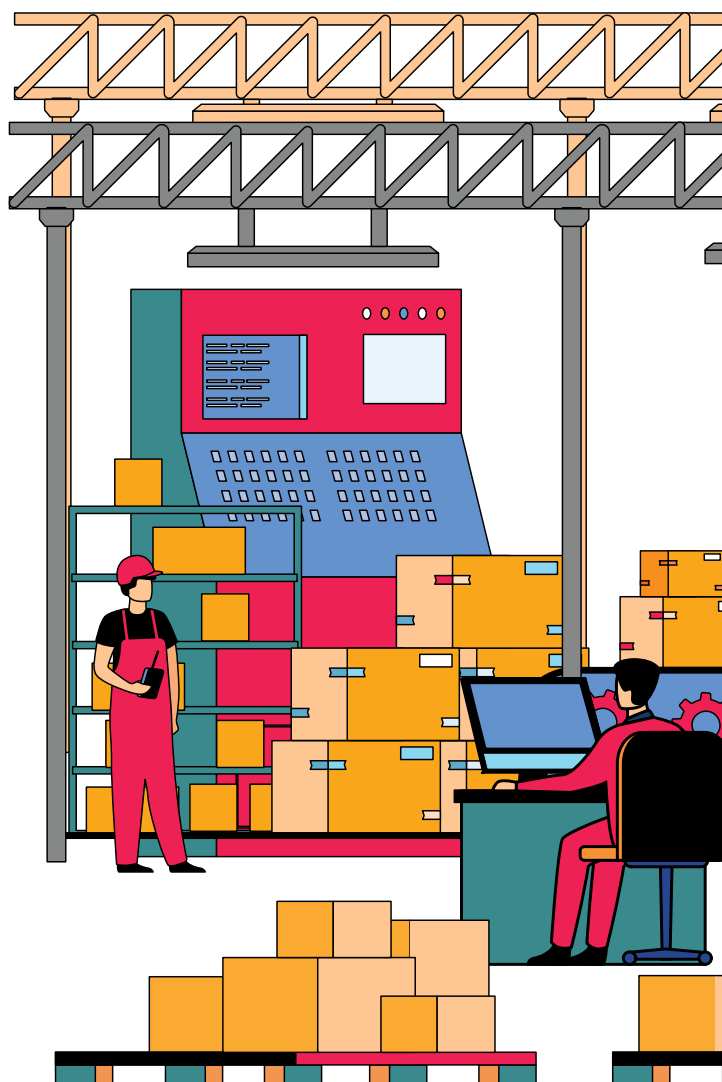
“We did not give sufficient importance to strengthening our domestic capabilities across sectors, be it in manufacturing or agriculture”



AMITENDU PALIT

RESEARCH LEAD
(TRADE AND ECONOMICS), INSTITUTE
OF SOUTH ASIAN
STUDIES AT THE NATIONAL UNIVERSITY
OF SINGAPORE

“India’s challenge is greater as building new capacities of good quality requires large investments, including from the private sector”



NOT MAKING ENOUGH IN INDIA?

India’s primary challenge lies in scaling up domestic manufacturing. Successive governments have looked to raise the share of manufacturing to 25% of GDP, but without success. As per the latest GDP data, in FY26, manufacturing accounted for just 16% of gross value added.

As recently as 2020, in the midst of the Covid-19 pandemic, PM Modi had issued a clarion call for *aatmanirbharta* or self-reliance. Before that, in 2014, he had launched the Make in India campaign to promote the country as a global manufacturing hub. Prior to that, the UPA government had set up the National Manufacturing Competitiveness Council and subsequently adopted the National Manufacturing Policy of 2011 to enhance the

share of manufacturing in GDP to 25% within a decade and creating 100 million jobs. Both were fully ignored, points out Biswajit Dhar, development economist and former professor, Jawaharlal Nehru University.

Dhar traces India’s import dependency to the late 1980s, when India started liberalising. “We did not give sufficient importance to strengthening our domestic capabilities across sectors, be it in manufacturing or agriculture. In contrast, Southeast and East Asian countries followed a twin-track strategy, liberalising their economies while strengthening sectors where they wanted to build competitiveness. China was, in fact, very conservative about lowering tariffs and only reduced them in sectors where it needed to import,” he says.